This is an update to our 2022 post:
"Is Commercial Real Estate Ever Coming Back?"
Our initial opinion is yes it's coming back
The Past, Present, and Future of Commercial Real Estate Market Cycles

03/25/2026

These are the questions we asked on our previous report:
Will the commercial real estate market ever come back? **YES it has started**
Will employees return to the office? **YES more and more every day**
The following is our new updated report

If history is any guide, the commercial real estate market doesn't just come back — it evolves, adapts, and frequently emerges stronger.

Market cycles are not anomalies. They are a defining characteristic of CRE. Every downturn reshapes demand, forces innovation, and ultimately lays the groundwork for the next phase of growth.

A Look Back at CRE Down Cycles
Over the past four decades, commercial real estate has navigated multiple disruptions:

1980–82
High inflation, aggressive interest rates, and economic instability created a difficult lending and development environment. Overbuilding amplified the stress.

1990–93
The Savings & Loan crisis fundamentally altered the capital markets. Financing structures, underwriting standards, and risk models were permanently reset.

2001–05
The dot-com collapse followed by 9/11 triggered massive uncertainty. Office markets absorbed shocks that, at the time, seemed insurmountable.

2007–10
The Global Financial Crisis tested every segment of CRE. Yet from that downturn came new asset strategies, operational efficiencies, and entirely new product types.

2020–2024
The pandemic cycle — arguably the most disruptive behavioral shift CRE has ever experienced. Demand didn't simply decline; it changed form. Work patterns, space utilization, and tenant expectations were rewritten in real time.

The Most Recent Cycle: 2020–2024
The pandemic cycle was never purely about real estate.

It was about how people live, work, shop, travel, and interact with space. Real estate simply became the physical stage where those behavioral shifts played out.

The early narrative centered on empty offices, remote work, and uncertainty. Yet beneath that disruption, the market was undergoing a deeper and far more durable transformation.

Organizations reassessed the role of space in supporting productivity, collaboration, recruitment, and culture. The office did not disappear — its purpose evolved. Flight-to-quality accelerated as tenants prioritized location, amenities, experience, and efficiency. Commodity space faced pressure, while well-positioned assets strengthened.

At the same time, other sectors surged. Industrial, logistics, and data infrastructure demand expanded rapidly, driven by e-commerce growth, supply chain restructuring, and digital acceleration. Adaptive reuse

shifted from occasional strategy to mainstream solution, unlocking new value from underperforming assets. Investors became more disciplined, selective, and creative, emphasizing fundamentals, cash flow durability, and asset differentiation.

Most importantly, the market began stabilizing around **hybrid reality rather than remote extremism**.

Employees did not permanently abandon offices.

Companies did not permanently abandon workplaces.

Instead, space became more intentional, more strategic, and more aligned with measurable business outcomes.

Why 2024 Represents the Transition
While market cycles rarely end on a precise calendar date, 2024 stands out as the period when several critical inflection points became clearer.

Hybrid work models stabilized into long-term operating policies rather than temporary experiments. Leasing activity began normalizing as delayed decision-making returned to the market. Distress increasingly converted into transactions, signaling price discovery and capital re-engagement. Investors re-entered selectively, guided by recalibrated valuations rather than uncertainty avoidance. Perhaps most telling, the dominant narrative shifted away from “pandemic disruption” toward repositioning, opportunity, and forward strategy.

In practical terms, the market moved from:

Shock & Repricing → Repositioning & Reallocation

That progression is not unusual. It is textbook cycle evolution.

The Professional / Analytical View
From an institutional and economic perspective, the cycle is best understood in phases:

2020–2022 → Shock & Behavioral Disruption
A sudden global reset of workplace behavior, space utilization, and tenant demand patterns.

2022–2024 → Financial Repricing & Adjustment
Valuation corrections, capital market constraints, and a broad recalibration of risk, pricing, and underwriting assumptions.

2024+ → Early Recovery & Reallocation Phase
Stabilization, renewed transaction activity, and strategic repositioning across asset classes.

This framing matters because it captures both defining forces of the cycle:
• The behavioral shock
• The capital markets reset

Together, they define what is most accurately described as:

Pandemic-Driven CRE Cycle: 2020–2024

Not a collapse. Not a disappearance of demand. But a structural transition that is now giving way to the next phase of market evolution. As history consistently reminds us, commercial real estate cycles do not signal endings, they signal reinvention.

The Present State of CRE

The CRE landscape today is not defined by collapse — it is defined by **re-pricing, re-balancing, and re-positioning**.

Office demand has not vanished; it has bifurcated.

Well-located, amenitized, experience-driven buildings are performing. Commodity space is under pressure. This is not unprecedented, it is cyclical differentiation at work.

Meanwhile:
• Industrial and logistics remain structurally supported
• Data centers continue expanding with digital demand
• Medical and healthcare assets show long-term stability
• Mixed-use environments are gaining momentum
• Capital markets are recalibrating rather than retreating

CRE is adjusting to a more rational, efficiency-driven environment.

This isn't weakness. It's maturation.

Current Landscape & Forward Outlook
Next 1 Year
Stabilization and clarity.

Leasing decisions that were delayed are increasingly moving forward. Space planning is becoming more predictable. Return-to-office policies continue normalizing across industries.

The conversation shifts from:
"Do we need space?" → "How should space work better?"

Expect:
• Gradual absorption improvements
• Continued flight-to-quality
• More repositioning and conversions
• Selective investment opportunities

Next 5 Years
With the positive indicators and growing momentum we're seeing, the next five years are shaping up to be a strong period for the commercial real estate sector.
Optimization and reinvention.

The office is no longer just a place to work — it becomes a place to connect, collaborate, recruit, train, and build culture.

Hybrid work stabilizes into operational models rather than experiments.

Expect:
• Stronger performance gap between quality assets and outdated stock
• Growth in experiential, flexible, and amenitized environments
• Increased adaptive reuse activity
• Sustainability becoming standard rather than differentiator
• Health, wellness, and efficiency driving design

Cities remain economic engines. Businesses continue clustering. Talent still gravitates toward dynamic environments.

Next 10 Years
No one can predict the future with certainty. One thing history consistently shows, however, is that quality real estate tends to appreciate over time. Properties purchased today are generally

expected to be more valuable ten years from now, as the market sector has historically demonstrated long-term value growth.

Expansion and technological integration.

CRE historically thrives after structural resets. By this phase, markets typically move from correction into growth.

Expect:
• Smart buildings becoming baseline expectations
• Technology deeply embedded in operations
• Flexible space strategies dominating design
• Continued evolution of mixed-use ecosystems
• New asset classes emerging from changing demand
CRE does not resist change — it monetizes it.

Positive Structural Drivers
Several long-term forces continue supporting CRE:

Return to Office Momentum
Organizations increasingly recognize the measurable value of in-person collaboration, culture, and mentorship.

Flight to Quality
Demand concentrates into better buildings rather than disappearing.

Industrial & Logistics Demand
Supply chains, reshoring, and e-commerce continue requiring infrastructure.

Adaptive Reuse Opportunities
Underperforming assets become redevelopment candidates.

Healthcare & Demographics
Population trends drive durable demand for medical and service-oriented space.

Urban Economic Gravity
Innovation, talent, and capital still cluster.

Challenges — But Not New Ones
CRE has always navigated uncertainty:
• Interest rate cycles
• Technological disruption
• Shifting work patterns
• Economic volatility
• Supply-demand imbalances

None of these are novel.

What is consistent is CRE's ability to adjust pricing, reposition assets, and redefine value.

Conclusion
Commercial real estate cycles tell a remarkably consistent story:
Disruption → Adjustment → Innovation → Growth

The 2020–2024 cycle was extraordinary in its scale, but not in its outcome trajectory.

Markets adapt. Space evolves. Demand reconfigures. Value re-emerges. Commercial real estate is not "coming back."

It is doing what it has always done — **moving forward into its next version.**